Attrition in the IT Services Industry

Background

The IT services industry, a global powerhouse enabling digital transformation, employs millions of professionals across software engineering, project management, consulting, and client delivery. With rapid technological change, intense competition, and global delivery models, talent retention has become a critical challenge.

Over the past two years, industry reports have highlighted **attrition rates ranging between 12–20% annually**, particularly among mid-level engineers and project managers. This churn disrupts client projects, inflates recruitment costs, and erodes institutional knowledge.

Traditional retention strategies, salary adjustments, engagement surveys, and career development programs, have delivered limited success. Leaders now recognize that attrition cannot be managed reactively. Instead, **predictive analytics** offers the potential to uncover hidden workforce patterns and provide early-warning signals for employees at risk of leaving.

Scenario

An IT services firm has observed rising attrition across delivery and consulting teams. Despite conducting exit interviews and implementing standard HR practices, leadership remains unable to pinpoint the underlying drivers. They suspect that factors such as career stagnation, project workload, manager quality, compensation gaps, and engagement scores are influencing attrition in ways not yet quantified.

The HR Analytics team has curated a dataset including demographics, performance reviews, project allocations, engagement scores, and exit interview feedback. The challenge is to design a **predictive attrition analytics framework** that translates this data into actionable insights.

Objective

Participants are invited to step into the role of analytics consultants tasked with solving the attrition puzzle for the IT services industry. Using the dataset, they must:

1. **Data-Driven Analysis** – Identify key factors influencing attrition and extract critical insights.
2. **Strategic Recommendations** – Propose clear, actionable steps for improving retention.
3. **Innovative Solutions** – Suggest long-term strategies to build a resilient workforce culture that attracts and retains top talent.

Deliverables

1. A 5 slide presentation (excluding title/thank-you).
2. A Predictive Model Framework (e.g., logistic regression, decision trees, survival analysis).
3. If Generative AI was utilized for any part of the challenge (coding, analysis, or drafting), provide a dedicated slide or document featuring **screenshots of the prompts used** and a brief description of how the AI output was validated or modified.